

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

Adam is single, 35 years old, and is the founder of M Group, which operates various group entities in the Middle East and Eastern Europe. Both Adam and the ultimate parent company of M Group are citizen and tax resident of Country M, located in the Middle East. Adam's wealth mainly comes from a trading business involving suppliers from Eastern Europe and customers in the Middle East. This business is very profitable, with annual profits of at least US\$100 million.

M Group wholly owns a Hong Kong incorporated investment company, K Limited, which holds various listed shares for short-term investment purposes. The share investment portfolio is managed by the Hong Kong-based investment manager Peter and his team, all of whom are employees of K Limited. Adam and Peter are the directors of K Limited. However, Adam has never shown any interest in the management and operation of K Limited, so he heavily relies on Peter's professional judgement and investment expertise and therefore never visits to Hong Kong for director or operational meetings.

Below is K Limited's income statement for the financial year ended 31 December 2023:

	HK\$	HK\$
Gross profit from disposal of shares listed in the Hong Kong Stock Exchange		4,000,000
Gross profit from disposal of shares listed in the Shanghai Stock Exchange (Note 1)		<u>6,000,000</u>
		10,000,000
Expense:		
Salaries and bonuses of Peter and his team	1,000,000	
Office rent and administrative expenses	360,000	
Interest expense (Note 2)	<u>500,000</u>	
		<u>(1,860,000)</u>
Profit before tax (Note 3)		<u>8,140,000</u>

Note 1: The disposed shares represented 2.3% shareholding in a Chinese IT company. The shares were acquired in 2019 during the series B funding conducted in Shanghai when the Chinese IT company was still a start-up company. The net disposal proceed was immediately remitted to Hong Kong for repayment of the bank loan (see Note 2 below).

Note 2: The interest is paid to a bank in Hong Kong for a loan borrowed wholly to finance the acquisition of the Shanghai listed shares.

Note 3: The financial results of K Limited are consolidated into M Group for financial reporting purposes.

On 25 February 2024, Adam and Peter had a dispute over an investment strategy, Peter and his team were fired and they left K Limited immediately. On the date of employment cessation, Peter received the following sums from K Limited:

- (i) Payment in lieu of notice for employment termination of HK\$50,000 as specified in the employment contract.
- (ii) Profit participation of HK\$407,000 in recognition of his investment performance and contribution to K Limited, the amount is computed by reference to 5% of K Limited's profit for the 2023 financial year as specified in the employment contract.
- (iii) Compensation of HK\$3,000,000 for Peter agreeing not to accept any employment in the investment sector globally for 3 years. The payment of this sum was negotiated and agreed on the date of employment termination, and paid under the separation agreement signed between K Limited and Peter on the same day.

For cost-cutting reasons, K Limited's Hong Kong office was closed, leaving a part-time clerical clerk employed and working from home in Hong Kong for administrative matters and acting as the correspondent for the investment/ loan account with a bank in Hong Kong. A new investment team with similar qualifications and experience and a new office has been established in Country U, under the name of K Limited's U branch. The investment team in Country U will operate and manage K Limited's investment business going forward. The above business changes were completed in June 2024.

There is no comprehensive double tax agreement between Hong Kong and Country U. Under the tax law of Country U, a non-resident corporate taxpayer carrying on business through a permanent establishment ("PE") in Country U is subject to corporate income tax at a headline rate of 20% on worldwide profit attributable to that PE.

As K Limited's Hong Kong operation has reduced substantially, Adam is concerned the Hong Kong business changes will have tax implications on K Limited's Hong Kong tax profile under the recently enacted Foreign Source Income Exemption ("FSIE") regime.

You are the manager-in-charge of the professional firm that has provided Hong Kong tax compliance services to K Limited for years, and you have recently received the following requests from Adam:

1. K Limited will engage in a one-off trading transaction involving a supplier located in an Eastern European country and a customer in the Middle East. Adam has indicated the product being traded is a modified drone, but he has refused to disclose the exact nature of the drone due to a non-disclosure agreement with the customer.
2. Adam needs a tax advice from your firm on taxation of the above trading profit expected to be around US\$20 million, and deduction of the facilitation fee of US\$2 million in the form of crypto currency to be paid to an agent in Country M with a military background who is crucial to the trade.
3. Adam has indicated he is willing to pay a fee for the above tax advisory of up to US\$1 million (over 50% of the firm's annual total tax service revenue) on the condition that your firm is willing to provide a digital wallet (in the name of your firm) for payment of the facilitation fee.

Shortly after Adam initiated the above requests, you became aware that a name very similar to Adam's full name appeared on the latest list of individuals published under section 25 of the United Nations Sanctions (ISIL and Al-Qaida) Regulation.

Question 1 (22 marks – approximately 39 minutes)

- (a) Comment on the source of K Limited's gross profit of HK\$6,000,000 from disposal of shares listed in the Shanghai Stock Exchange under Hong Kong profits tax in light of case laws and the Inland Revenue Department ("IRD")'s practice.

(6 marks)

- (b) Comment on the taxing right of K Limited's gross profit of HK\$6,000,000 from disposal of shares listed in the Shanghai Stock Exchange under China corporate income tax, in light of the paragraphs in Article 13 Capital Gains of the double tax agreement between Hong Kong and mainland China ("the DTA"). Marks will be given for brief analysis of each paragraph in Article 13 Capital Gains by reference to the fact pattern of this case, you should give explanation where the paragraph is not applicable.

Note: You should assume K Limited is a Hong Kong tax resident company and maintains no PE in mainland China as defined under the DTA.

(6 marks)

- (c) Compute the assessable profits of K Limited under Hong Kong profits tax for the year of assessment 2023/24. Assume there is no tax depreciation allowance.

Further compute the effective tax rate of K Limited for the year of assessment 2023/24, taking into account the 2-tier profit tax rates regime.

Explain your tax treatment for the interest expense of HK\$500,000.

(10 marks)

Question 2 (10 marks – approximately 18 minutes)

In December 2024, K Limited will dispose of the remaining 7.7% shareholding in the Chinese IT company, also acquired in 2019 during the same series B funding. A substantial gain ("the Gain") is expected from this disposal.

- (a) Analyse how the new FSIE regime will affect the taxation of the Gain after all the business changes up to June 2024, assuming Adam continues showing no interest in K Limited's business and does not come to Hong Kong for board and management meetings.

Your analysis should briefly cover the following aspects, limited to the applicable fact pattern of this case:

- Covered income;
- Covered taxpayer; and
- Tax treatment under the deeming provision and the exception under participation exemption requirements.

(7 marks)

- (b) Further analyse how the departure of Peter and his team and the substantial reduction in the Hong Kong business have affected application of the exception under economic substance requirements and hence the taxation of the Gain under the FSIE regime (no calculation is required).

Note: You should ignore taxation of the Gain in Country U in your analysis.

(3 marks)

Question 3 (12 marks – approximately 22 minutes)

In respect of the sums (i) to (iii) received by Peter on the date of employment termination, write a tax advisory letter to Peter outlining the treatments on taxation of these sums under Hong Kong salaries tax, on the basis that Peter's employment with K Limited is a Hong Kong employment, all services were rendered in Hong Kong and no overseas tax were paid on income from such employment.

Note: A maximum of 2 marks for communication skills and 2 marks for analytical skills will be awarded.

(12 marks)

Question 4 (6 marks – approximately 11 minutes)

- (a) With respect to the tax advisory request from Adam regarding the one-off trading transaction, discuss the customer due diligence and internal and external reporting requirements that you will highlight to your partner to make sure the firm is in compliance with the guidelines on Anti-Money Laundering and Counter-Terrorist Financing for Professional Accountants published by the Hong Kong Institute of Certified Public Accountants.

If the external reporting is required and done, suggest the important issue that you should ask your staff to pay attention to when communicating with Adam.

(4 marks)

- (b) Suggest TWO documents/ pieces of information you will request Adam to provide for client identification purposes.

(2 marks)

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End of Section A

SECTION B – ESSAY/ SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 5 (17 marks – approximately 31 minutes)

Creative Media Limited ("CML") is a company incorporated in Hong Kong engaged in online media production, including publication of videos on food and lifestyle. It commenced business in the year of assessment 2019/20. Based on the tax returns filed for the years of assessment 2019/20 and 2020/21, the IRD issued a loss statement to CML showing that it sustained an aggregated loss of HK\$600,000 in the said two years.

CML has recently appointed your firm as tax advisor. To prepare the tax filing for the year ended 31 March 2022, you have reviewed CML's books and records and noted the following:

- (i) A service fee of HK\$960,000 was paid to a local individual. According to CML, the fee was paid for advisory services rendered by the individual;
- (ii) A former staff member had stolen from CML's office petty cash of HK\$15,000, as well as certain photographic equipment which had a net book value of HK\$48,000 and had been included in the 20% pool for depreciation allowances since purchase in 2019. The loss of cash and equipment were written off and recognized in the statement of comprehensive income; and
- (iii) For the expense item "tax and fine" of HK\$48,200, HK\$5,000 was from a traffic fine relating to CML's motor vehicle wholly used for business purposes. The remaining HK\$43,200 was labelled as "property tax" paid to the landlord of CML's office premises. Having checked the tenancy agreement, you discovered that in addition to the monthly rent, CML as tenant was also contracted to pay the landlord a sum equivalent to the latter's annual property tax liability.

Taking into account points (i) to (iii) above, CML's net profits for the year ended 31 March 2022 were HK\$362,700.

Required:

- (a) Suggest **THREE** types of information and/ or documentary evidence that CML should provide to the IRD in support of the deduction claim for the service fee in point (i). Also comment on the deductibility of the service fee.
(5 marks)
- (b) With reference to the relevant provisions of the Inland Revenue Ordinance ("IRO") and legal principles, explain the tax treatment for each item mentioned in points (ii) and (iii).
(7 marks)
- (c) Prepare profits tax computations for CML for the respective years of assessment 2021/22 and 2022/23 (provisional tax). Assume that no adjustment to the service fee in point (i) is necessary, and that CML is entitled to two-tiered rates. Ignore the tax reduction for the year of assessment 2022/23.
(5 marks)

Question 6 (10 marks – approximately 18 minutes)

Gain Well Limited ("GWL") is a company holding commercial properties in Hong Kong. It had an ongoing tax dispute with the IRD concerning management fees paid to certain related companies. The IRD disallowed the management fees claimed in full and GWL objected to the assessment. As the tax involved was substantial, GWL wondered whether it could leave the tax unpaid pending the result of the objection.

In the course of the objection, GWL was requested by the IRD to provide various information and documents to support the deduction claim of the management fees. Recently, it came to the attention of GWL's management that its former finance manager had submitted certain incorrect payment records to the IRD purportedly showing that cash payment was made in respect of the management fees claimed instead of putting through current accounts between related companies.

Required:

- (a) With reference to the relevant IRO provision, advise whether GWL could leave the tax unpaid pending the result of the objection. (3 marks)
- (b) Advise on the IRD's policy regarding the treatment of tax payment upon objection (i.e. whether to allow stand-over/ holdover of tax payment or not). (4 marks)
- (c) With reference to the penalty provisions of the IRO, advise on the possible consequences of GWL in respect of the incorrect payment records provided to the IRD. (3 marks)

Question 7 (16 marks – approximately 29 minutes)

Eric had been employed by a local property development company ("the Employer") as an assistant engineer after graduation. Having obtained the practical experience required and having passed the examinations, Eric was admitted as a member of a recognized professional body in the engineering field in June 2022, and he had since been promoted to engineer accordingly.

To encourage employees to pursue business related qualifications, the Employer agreed to reimburse the first registration fee and annual membership fee paid by its employees to one professional body. As such, Eric received reimbursement from the Employer in August 2022 for the first registration fee and annual membership fee of HK\$5,000 and HK\$2,500, respectively, he previously paid to the professional body.

As a celebration of its 50th anniversary, the Employer distributed 50,000 "e-Dollars" to every staff member who was in active employment as at 1 January 2023. "e-Dollars" are part of a reward program operated by the Employer, under which employees could use their "e-Dollars" at all shops in the shopping malls of the Employer in Hong Kong. 1 "e-Dollar" was equivalent to HK\$0.1.

Apart from the above, the total salary and bonus paid by the Employer to Eric for the year of assessment 2022/23 was HK\$584,000. He was also entitled to the deduction of mandatory provident fund contributions of HK\$18,000 and to claim the dependent parent allowance in respect of his mother, who reached the age of 55 in late March 2023 and resided with Eric continuously throughout the year without paying full costs.

Required:

- (a) With reference to the relevant IRO provisions and legal principles, explain the salaries tax treatments from Eric's perspective, regarding the following:
- (i) the deductibility of the first registration fee and annual membership fee paid by Eric; and
 - (ii) the taxability of reimbursement of the first registration fee and annual membership fee received from the Employer.
- (8 marks)
- (b) With reference to the relevant IRO provisions and legal principles, explain the salaries tax treatments of the taxability of 50,000 "e-Dollars".
- (4 marks)
- (c) Prepare a salaries tax computation for Eric for the year of assessment 2022/23. Ignore provisional tax.
- (4 marks)

Question 8 (7 marks – approximately 12 minutes)

Mr Hui lived in a residential flat ("Flat H") which was rented by him from the landlord under a tenancy agreement for 3 years starting from 1 November 2020 at monthly rent of HK\$22,000. Ms Wong alone also signed a long staying agreement with Hotel W, which contained, among others, the following clauses:

- (1) Ms Wong shall occupy the serviced apartment as licensee of Hotel W for 2 years from 1 April 2021 at a monthly rent of HK\$15,000. No tenancy relationship shall be created between Hotel M and Ms Wong; and
- (2) Ms Wong shall not have exclusive right or possession to the serviced apartment.

Ms Wong lived in Hotel W up to 31 October 2022, on which the long staying agreement with Hotel W was early terminated. Ms Wong had then moved to live with Mr Hui at Flat H from 1 November 2022. Mr Hui and Ms Wong ("the Couple") got married on 1 January 2023. They both had salaries tax payable for the year of assessment 2022/23. Regarding the deduction for domestic rent, the Couple agreed that they should claim the rent paid in respect of Flat H for the period from 1 January 2023 to 31 March 2023 in equal shares. The tenancy agreement of Flat H was duly stamped.

Required:

- (a) Advise TWO circumstances that would disqualify a taxpayer from the deduction for domestic rent.
(2 marks)
- (b) Explain whether rent paid by Ms Wong to Hotel W can be allowed for deduction under domestic rent.
(2 marks)
- (c) Compute the respective amounts of domestic rent allowable to Mr Hui and Ms Wong for deduction for the year of assessment 2022/23.
(3 marks)

* * * END OF EXAMINATION PAPER * * *